Barrow Quantity Surveyors
Quantity surveying and cost management

Initial Quantity Surveyor Report

Project budget, contract, contingency and programme review: Seachange Bribie Island, Bellara Q

Prepared for Quillwood Credit Partners
Version 1.0, 14 April 2025
Prepared by Barrow Quantity Surveyors
Confidential: for credit assessment only
Reference: BQS-QCP-SL-2025-01
Date: 14 April 2025

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Borrower	Seachange Living Pty Ltd (ABN 40 987 804 650)
Sponsor	Seachange Group Holdings Pty Ltd (Seachange Group)
Project	Seachange Bribie Island, 118 Casuarina Way, Bellara QLD 4507
Proposed facility	A$46.0M senior secured construction and investment facility, 36 months
Prepared for	Quillwood Credit Partners
Prepared by	Barrow Quantity Surveyors
Report date	14 April 2025
Version	1.0 (initial report)

Report details

1. Executive summary

Quillwood Credit Partners has asked us to review the development budget, construction contract, contingency and programme for Seachange Bribie Island, a gated over-50s land lease community of 210 homes across three stages. This initial report is based on the information memorandum dated 3 March 2025 (the IM), the independent valuation by Harcourt Brennan Valuers Pty Ltd dated 4 April 2025, and the project documents listed in Section 2.

Our principal findings are as follows.

- We assess total development cost (TDC) at A$81.3M, which is A$4.4M above the A$76.9M in the IM. Of the total, A$43.1M has been incurred and A$38.2M remains to be spent.
- The difference to the IM arises from higher civil costs (A$1.6M), higher Stage 3 building costs (A$1.4M) and a larger contingency (A$1.4M).
- We have adopted a contingency of A$2.8M, equal to 7.3% of cost to complete and 10.4% of remaining construction costs (homes, civil works and clubhouse). We consider this adequate for Stage 2 but thin for Stage 3, where design and procurement are less advanced.
- Against the proposed A$46.0M facility, the loan to cost ratio is 56.6% on TDC of A$81.3M and the loan to value ratio is 43.4% on the valuer's gross realisation value (GRV) of A$106.1M.
- Only a limited part of the head contract is fixed price. Cost escalation, barge and bridge logistics and contractor capacity remain with the project to a material degree.
- We assess Stage 2 practical completion about two months later than the contractor's programme, and Stage 3 about three months later.

Subject to the conditions in Section 9, we consider the independent budget of A$81.3M a reasonable basis for credit assessment. We do not recommend relying on the IM budget.

2. Basis of report and scope

This report reviews the budget, contract, contingency and programme. It does not assess market value, sales pace or the borrower's financial position, which are matters for the valuer and for Quillwood Credit Partners. We have adopted the valuation's GRV of A$106.1M, average home price of A$505,000 and weekly site fee of A$155 without independent verification.

Documents reviewed: the IM and its development budget; the approved masterplan and Moreton Bay Regional Council development approval dated 17 February 2023; the head contract with Bayside Civil and Build Pty Ltd in draft form; the contractor's programme; progress claims and cost reports to date; and the valuation. We inspected the site on the date of this report. Stage 1 (84 homes) is complete, Stage 2 (72 homes) has been under construction since 20 January 2025, and civil works for Stage 3 (54 homes) began on the same date. Quantities for Stage 3 have been measured from concept-level drawings only.

3. Project summary

Item	Detail
Site area	17.8 hectares, freehold
Homes	210 (Stage 1: 84, Stage 2: 72, Stage 3: 54)
Gross floor area	32,500 sqm
Clubhouse	1,420 sqm with pool, bowls green and community facilities
Stage 1 status	Practical completion 23 August 2024; 82 homes settled
Stages 2 and 3 presales	49 contracts over 126 homes (38.9%)

Table 1: Project summary

4. Development budget

4.1 Independent budget

Table 2 sets out our assessed budget, split between costs incurred and cost to complete. Incurred costs are taken from the cost report and progress claims and have been tested against paid invoices on a sample basis. Land cost comprises the A$19.8M acquisition price of 30 June 2022 and A$1.4M of acquisition costs.

Cost item	Total A$M	Incurred A$M	To complete A$M
Land and acquisition	21.2	21.2	0.0
Home supply and installation	28.0	9.8	18.2
Civil and infrastructure	13.0	5.3	7.7
Clubhouse and facilities	4.6	3.6	1.0
Professional fees and charges	3.8	1.5	2.3
Sales and marketing	3.0	0.7	2.3
Finance costs	4.9	1.0	3.9
Contingency	2.8	0.0	2.8
Total development cost	**81.3**	**43.1**	**38.2**

Table 2: Independent development budget

Finance costs are limited to facility interest and fees not met from operating cash flow. They include the A$1.8M of capitalised interest and fees proposed under the new facility. The budget is exclusive of GST.

4.2 Reconciliation to the information memorandum

Item	A$M
TDC per IM	76.9
Higher civil costs	1.6
Higher Stage 3 building costs	1.4
Larger contingency (IM A$1.4M)	1.4
TDC per this report	**81.3**

Table 3: Reconciliation of TDC to the IM

The civil variance reflects earthworks, stormwater and road pavement rates for Stage 3 that are consistent with Stage 1 outturn, not the lower rates in the IM. The Stage 3 building variance reflects current supplier pricing and the cost of delivering homes by barge or bridge. We have seen no evidence that the IM rates are achievable.

4.3 Funding of cost to complete

The facility would fund A$24.6M of Stage 2 and Stage 3 construction and infrastructure costs and A$1.8M of capitalised interest and fees, a total of A$26.4M. This leaves A$11.8M of the A$38.2M cost to complete to be met from settlement proceeds and borrower cash. We have not tested the availability of those funds. Because Stages 2 and 3 are only 38.9% presold, any shortfall in settlements would fall on the sponsor.

5. Construction contract

Bayside Civil and Build Pty Ltd is the head contractor. Our review of the draft contract identified the following.

- Fixed price applies only to Stage 2 home supply and installation. Stage 3 building works and the remaining civil works are on a measure and value basis, so quantity and rate risk sits largely with the borrower.
- The draft has no clear escalation mechanism for materials or barge freight. Without one, claims for price adjustment are likely if rates move.
- Liquidated damages are stated but not capped by reference to a daily rate we consider commensurate with lost site fee and holding costs.
- Security of the contractor's performance is limited to retention. We recommend an unconditional bank guarantee of at least 5% of contract value in addition.
- Variations are controlled by the borrower's project manager. We recommend that variations above A$100,000 require lender notification.

The contractor's current progress claims match works observed on site. We found no evidence of over-claiming.

6. Contingency

The IM allows A$1.4M, or 3.7% of cost to complete, which we consider inadequate given the proportion of cost not fixed. We have adopted A$2.8M. The adequacy of this allowance differs between stages.

Measure	Value
Contingency adopted	A$2.8M
As share of cost to complete (A$38.2M)	7.3%
As share of remaining construction cost (A$26.9M)	10.4%
Contingency in IM	A$1.4M
Contingency drawn to date	Nil

Table 4: Contingency

Stage 2 is under construction with a fixed-price home component, and we consider the allocated share adequate. Stage 3 is exposed to design development, unpriced packages and weather delay, and a sensitivity of 5% on Stage 3 and remaining civil costs would consume about A$0.8M, or 29% of the allowance. We recommend that contingency be held under lender control and released only against documented, certified need.

7. Programme

Milestone	Contractor programme	Our assessment
Stage 2 start	20 Jan 2025	20 Jan 2025 (actual)
Stage 2 practical completion	January 2026	March 2026
Stage 3 civil works start	20 Jan 2025	20 Jan 2025 (actual)
Stage 3 practical completion	August 2026	November 2026

Table 5: Indicative programme

Our allowance of two to three months reflects the Queensland wet season, the limited number of delivery windows over the bridge and by barge, and the contractor's concurrent commitment to two stages. The programme is not resource-loaded, and we have not been given the contractor's labour plan. Even with these delays, practical completion of Stage 3 falls well inside the proposed 36 month tenor, but the margin for further slippage is limited because settlements follow completion of each stage.

8. Key risks

- Cost escalation: with limited fixed-price cover, a 5% rise in remaining construction cost would add about A$1.3M, consuming nearly half of the contingency.
- Contractor capacity: a single head contractor is carrying both stages. A failure or slowdown would delay settlements and cash flow for debt reduction.
- Information gap: the IM budget, GRV and site fee assumptions are each more favourable than independent figures. The IM assumes an average home price of about A$545,000 against A$505,000, a GRV of A$114.5M against A$106.1M, and a site fee of A$172 against A$155 per week. On 210 homes, that implies annual site fee income of about A$1.88M against A$1.69M.
- Coastal hazard: storm tide and severe weather may affect site works, insurance cost and programme.

9. Recommendations and conditions

We recommend that Quillwood Credit Partners:

- Size the facility and covenants on TDC of A$81.3M and not the IM figure.
- Require an executed head contract, with a price adjustment clause, a performance guarantee and a liquidated damages rate acceptable to the lender, before first drawdown.
- Require monthly independent progress certification and a cost-to-complete reconciliation from this office or another approved QS.
- Hold contingency under lender control and require sponsor support for any overrun beyond it.
- Obtain a fully priced Stage 3 budget and a resource-loaded programme once design is further advanced, and update this report accordingly.
- Confirm the source and timing of the A$11.8M balance of cost to complete not funded by the facility.

This is an initial report. Our assessment will be revised on receipt of executed contract documents and Stage 3 tender pricing. It is prepared solely for Quillwood Credit Partners and may not be relied on by any other party.

10. Sign-off

Prepared by	Neil Prendergast, Director, Barrow Quantity Surveyors
Reviewed by	Fiona Alcott, Senior Associate, Barrow Quantity Surveyors
Date	14 April 2025

Report sign-off